utilize the milk in non-sugar containing products. Thus, in cases of breakdown in machinery the Office of Price Administration may require the operator to disclose what steps he has taken to repair such machinery. If the machinery has not been repaired in a reasonable time no further temporary increase in monthly base may be granted.

This amendment shall become effective February 6, 1947.

NOTE: The reporting and record-keeping requirements of this amendment have been approved by the Bureau of the Budget in accordance with the Federal Reports Act of 1946.

Issued this 6th day of February 1947.

PHILIP B. FLEMING,
Temporary Controls Administrator.

[F. R. Doc. 47-1235; Filed, Feb. 6, 1947; 11:39 a. m.]

Chapter XXIII—War Assets Administration

[Reg. 2,[1] Order 8]

PART 8302—DISPOSAL OF SURPLUS PERSONAL PROPERTY TO PRIORITY CLAIMANTS

EXEMPTION OF FIRE-FIGHTING EQUIPMENT FROM PRIORITIES ACCORDED TO VETERANS

Section 16 (a) of the Surplus Property Act of 1944, as amended, directs that the Administrator prescribe regulations to effectuate the objectives of the act to aid veterans in the acquisition of surplus property, "in appropriate quantities and types," to enable them to establish and maintain their own small business, professional or agricultural enterprises. Section 8302.5 (b) makes provision for the priority of veterans in their acquisition of surplus personal property without prescribing any limitation as to the propriety of the type of property sought to be acquired.

It has been reported that special types of fire-fighting equipment are in critical demand by municipal and volunteer fire departments to replace old or worn equipment, principally due to the fact that production of such specialized equipment has not caught up with the demand therefor. Losses in public and private property attributable to fires for the first nine months of 1946 exceed the total losses for any entire year in the period 1932 to 1943 inclusive.

While it may appear that special fire-fighting equipment could, at added expense to the purchaser, be adapted to general purpose use by modification or conversion, or be otherwise disposed of at a speculative profit, the utility of such property generally is limited to the purpose for which it was manufactured, namely, to combat the holocaust of fire. The Reconstruction Finance Corporation has advised that it considers the public interest and public benefit to be such as to outweigh any speculative advantage or restricted need of small business. Accordingly, certification for this class of property under the provision of section 18 (e) of the Surplus Property Act is not contemplated by the Reconstruction Finance Corporation. Accordingly, it is hereby ordered that:

§ 8302.58. *Exemption of fire-fighting equipment from priorities accorded to veterans.* The specialized utility and purpose of fire-fighting equipment is not deemed to be consistent with, or appropriate to, the needs of veterans in the establishment or maintenance of a small business, professional or agricultural enterprise, and there is hereby exempted from the general class of personal property, subject to the provisions of § 8302.5 (b) of this part, fire-fighting equipment of the following description:

1. *Fire-fighting ladder trucks.*

Makes: Seagrave, American-LaFrance, Peter Perch, Ward LaFrance, and Ahren-Fox.

Types: a. City service 4-wheeled ladder truck. (In addition to its ladder equipment it is provided with forceable entry tools, salvage covers, life nets, etc.)

b. Aerial ladder trucks, 4-wheeled. (In addition to its aerial ladder it is provided with ground ladders, forceable entry tools, salvage covers, life nets, etc.)

c. Aerial ladder truck tractor-drawn with steering wheel for tillerman. (In addition to its aerial ladder it is provided with ground ladders, forceable entry tools, salvage covers, life nets, etc.)

2. *Fire-fighting pumpers (pumping engines).*

Makes: Seagrave, American-LaFrance, Peter Perch, Ward LaFrance, Ahren-Fox, F. W. D., and the following makes with midship-mounted pumps with pumping capacity of 500 gpm and over: Kenworth, Hahn, Howe, W. D. Darley, General Detroit, Oren, Maxim, and Buffalo.

Types: a. Triple combination pumper (combination pumper, hose wagon, and booster tank). Pumping capacity 500, 750, 1,000, and 1,250 gpm.

b. Quadruple combination pumper (combination pumper, hose wagon, booster tank, and ladder truck). Pumping capacity 500, 750, 1,000, and 1,250 gpm.

3. *Crash trucks.*

Types: d. Carbon dioxide truck (refrigerated CO_2 tank)

4. *O. C. D. type pumpers.*

a. Trailer type pump (pump internal combustion engine and fire hose compartment mounted on 2-wheeled trailer).

b. Skid unit pump (pump and internal combustion engine mounted on skids).

(Surplus Property Act of 1944, as amended (58 Stat. 765, as amended; 50 U. S. C. App. Sup. 1611); Pub. Law 181, 79th Cong. (59 Stat. 533; 50 U. S. C. App. Sup. 1614a, 1614b); and E. O. 9689 (11 F. R. 1265))

This order shall become effective February 6, 1947.

ROBERT M. LITTLEJOHN,
Administrator.

FEBRUARY 3, 1947.

[F. R. Doc. 47-1236; Filed, Feb. 6, 1947; 11:40 a. m.]

[1] 11 F. R. 14267, 12 F. R. 152.

TITLE 35—PANAMA CANAL

Chapter I—Canal Zone Regulations

[Canal Zone Order 3]

PART 5—AIR NAVIGATION

SUBPART A—REGULATIONS PRESCRIBED BY SECRETARY OF WAR: AIRCRAFT, AIR NAVIGATION, AIR-NAVIGATION FACILITIES AND AERONAUTICAL ACTIVITIES WITHIN THE CANAL ZONE

By virtue of the authority vested in The President of the United States by section 14 of Title 2 of the Canal Zone Code, as added by section 1 of the act of July 9, 1937, 50 Stat. 486 (48 U. S. C. 1314a) and delegated to me by Executive Order No. 9746 of July 1, 1946, I hereby prescribe the following regulations governing aircraft, air navigation, air-navigation facilities and aeronautical activities within the Canal Zone:

GENERAL PROVISIONS

Sec.
5.1 Definitions.
5.2 Canal Zone set apart as military airspace reservation.
5.3 Agreements between the United States and foreign nations not affected.

AUTHORIZATION FOR ENTRANCE AND NAVIGATION OF TRANSIENT AIRCRAFT

5.11 Authorization for entrance and navigation of transient aircraft.
5.12 Application for authorization for transient aircraft.

AIR TRANSPORTATION AND AIR COMMERCE, IN GENERAL

5.21 Air transportation; qualification of air carriers and foreign air carriers.
5.22 Same; bond; terminal facilities.
5.23 Intra-Canal Zone air commerce and air transportation.

OPERATIONS SPECIFICATIONS; CERTIFICATES AND LICENSES, INSPECTION, QUARANTINE, AND CUSTOMS

5.31 Operations specifications and regulations.
5.32 Aircraft registration and airworthiness.
5.33 Airman certificates of competency; in general.
5.34 Radio operators; qualification and licensing.
5.35 Airmen; demonstration of competency.
5.36 Maintenance and servicing of aircraft.
5.37 Inspection upon landing.

ACCIDENTS

5.41 Accidents; reports; preservation of aircraft.

NONDISCRIMINATION

5.51 Nondiscrimination; regulations as to scheduled and transient aircraft.

VIOLATIONS AND ENFORCEMENT

5.61 Falsification of permits, certificates or required statements.
5.62 Suspension and revocation of right to operate.
5.63 Punishment for violations.
5.64 Administration; detailed regulations; amendment or suspension of subpart.

REVOCATION OF PRIOR ORDERS

5.71 Revocation of prior orders and regulations.
5.72 Effective date.

AUTHORITY: §§ 5.1 to 5.72, inclusive, issued under sec. 14 of title 2 of Canal Zone Code, as added by sec. 1, of 50 Stat. 486; 48 U. S. C. 1314a; E. O. 9746, July 1, 1946, 11 F. R. 7329.

§ 5.1 *Definitions.* As used in this subpart, unless the context otherwise requires:

(a) "Air carrier" means any citizen of the United States who undertakes, whether directly or indirectly or by a lease or any other arrangement, to engage in air transportation.

(b) "Air commerce" means intra-Canal Zone, overseas, or foreign air commerce or the transportation of mail by aircraft.

(c) "Aircraft" means any contrivance now known or hereafter invented, used or designed for navigation of or flight in the air, except a parachute or other contrivance designed for such navigation but used primarily as safety equipment: *Provided, however,* That the term "aircraft" shall not include military aircraft of the United States, i. e., aircraft of the United States Army, National Guard, Navy, Marine Corps, or Coast Guard or aircraft operated by or exclusively for the United States Army or Navy and which are subject to the air safety regulations issued by the appropriate military authority for the control of military aircraft; and none of the provisions of this subpart shall apply to such aircraft, or to the operation or navigation thereof.

(d) "Airman" means any individual who engages, as the commander, pilot, mechanic, or member of the crew, in the navigation of aircraft while under way; and any individual who is directly in charge of the inspection, maintenance, overhauling, or repair of aircraft, aircraft engines, propellers, or appliances; and any individual who serves in the capacity of aircraft dispatcher, or air-traffic control-tower operator.

(e) "Air transportation" means intra-Canal Zone, overseas, or foreign air transportation, or the transportation of mail by aircraft.

(f) "Appliances" means instruments, equipment, apparatus, parts, appurtenances, or accessories, of whatever description, which are used, or are capable of being or intended to be used, in the navigation, operation, or control of aircraft in flight (including parachutes and including communication equipment and any other mechanism or mechanisms installed in or attached to aircraft during flight), and which are not a part or parts of aircraft, aircraft engines or propellers.

(g) "Citizen of the United States" means (1) an individual who is a citizen of the United States or one of its possessions, or (2) a partnership of which each member is such an individual, or (3) a corporation or association created or organized under the laws of the United States or of any State, Territory, or possession of the United States, of which the president and two-thirds or more of the board of directors and other managing officers thereof are such individuals and in which at least 75 per centum of the voting interest is owned or controlled by persons who are citizens of the United States or one of its possessions.

(h) "Convention on International Civil Aviation" means the Convention on International Civil Aviation concluded at Chicago on December 7, 1944.

(i) "Foreign air carrier" means any person, not a citizen of the United States, who undertakes, whether directly or indirectly or by a lease or any other arrangement, to engage in foreign air transportation.

(j) "Governor" means the Governor of The Panama Canal.

(k) "Intra-Canal Zone air commerce", "overseas air commerce", and "foreign air commerce", respectively, mean the carriage by aircraft of persons or property for compensation or hire, or the carriage of mail by aircraft, or the operation or navigation of aircraft in the conduct or furtherance of a business or vocation, in commerce between, respectively:

(1) A place in the Canal Zone and any other place in the Canal Zone;

(2) A place in the Canal Zone and a place in the United States or other territory subject to its control and jurisdiction;

(3) A place in the Canal Zone and any place outside thereof other than a place in the United States or territory subject to its control and jurisdiction,

whether such commerce moves wholly by aircraft or partly by aircraft and partly by other forms of transportation.

(l) "Intra-Canal Zone air transportation", "overseas air transportation", and "foreign air transportation", respectively, means the carriage by aircraft of persons or property as a common carrier for compensation or hire or the carriage of mail by aircraft, in commerce, between, respectively:

(1) A place in the Canal Zone and any other place in the Canal Zone;

(2) A place in the Canal Zone and a place in the United States or other territory subject to its control and jurisdiction; and

(3) A place in the Canal Zone and any place outside thereof other than a place in the United States or territory subject to its control and jurisdiction,

whether such commerce moves wholly by aircraft or partly by aircraft and partly by other forms of transportation.

(m) "Mail" means United States mail, Canal Zone mail, foreign mail entering or leaving the Canal Zone and foreign-transit mail.

(n) "Person" means any individual, firm, copartnership, corporation, company, association, joint-stock association, or body politic; and includes any trustee, receiver, assignee, or other similar representative thereof.

(o) "Transient aircraft" includes all aircraft except those engaging in air transportation pursuant to, and within the terms of, authorizations obtained as provided in §§ 5.21 and 5.22 of this subpart.

(p) "United States" when used in a geographical sense means the continental United States of America.

§ 5.2 *Canal Zone set apart as military airspace reservation.* The airspace above the Canal Zone, including the territorial waters within the three-mile marine boundary at each end of the Canal, is hereby set apart as and declared to be a military airspace reservation, to be known as the "Canal Zone Military Airspace Reservation."

§ 5.3 *Agreements between the United States and foreign nations not affected.* Nothing contained in this subpart shall be construed to supersede or modify the provisions of any existing or subsequent agreement between the United States and any foreign nation or nations covering the navigation of aircraft into, within, or from the United States or any territory subject to the jurisdiction thereof.

AUTHORIZATION FOR ENTRANCE AND NAVIGATION OF TRANSIENT AIRCRAFT

§ 5.11 *Authorization for entrance and navigation of transient aircraft.* No transient aircraft shall be navigated into, within, or from the Canal Zone Military Airspace Reservation except under and in compliance with an authorization granted (a) by the Secretary of State after consultation with the Secretary of War in the case of transient aircraft a part of the armed forces of any foreign nation, or (b) in the case of all other transient aircraft, by the Commanding General, Caribbean Defense Command, or by the Secretary of War. For the purposes of §§ 5.11 and 5.12, an aircraft shall be deemed to be a part of the armed forces of a foreign nation when it is used in the service of the army, navy, national police, national guard, or other similar agency of a government or of a political subdivision thereof. An aircraft which is government-owned but is engaged in the carriage of persons or property for commercial purposes shall not be deemed an aircraft part of the armed forces of any foreign nation.

§ 5.12 *Application for authorization for transient aircraft.* Application for authorization under § 5.11 to navigate transient aircraft into, within, or from the Canal Zone Military Airspace Reservation shall be submitted in the manner and form prescribed by the Commanding General, Caribbean Defense Command, with the approval of the Secretary of War and of the Secretary of State so far as they respectively have jurisdiction with respect to particular classes of flights.

AIR TRANSPORTATION AND AIR COMMERCE, IN GENERAL

§ 5.21 *Air transportation; qualification of air carriers and foreign air carriers.* No air carrier or foreign air carrier shall engage in air transportation into, within, or from the Canal Zone Military Airspace Reservation unless it has complied, and continues to comply, with the applicable laws of the United States, the applicable rules and regulations prescribed by the competent aeronautical authorities of the United States, and the rules and regulations prescribed by the Governor pursuant to this subpart.

§ 5.22 *Same; bond; terminal facilities.* The Governor may require any air carrier or foreign air carrier, as a condition of entry into the Canal Zone Military Airspace Reservation:

(a) To furnish a bond, in such amount and containing such terms as may be satisfactory to the Governor, or in lieu thereof to deposit cash, conditioned upon the full satisfaction of all lawful judgments rendered against such air carrier or foreign air carrier as a result of operations into, within, or from the Canal Zone Military Airspace Reservation; and

(b) To demonstrate to the satisfaction of the Governor that it has avail-